FOR EMPLOYERS · 3 OF 3 TAX TREATMENT, PLAINLY

Straight answers about taxes and this program

CARE THROUGH Amaze HEALTH

We lead with the care. But you should know exactly how the money moves, so here's the plain version. This is general information, not tax advice.

01 How is the premium handled?

The premium is paid pre-tax through a Section 125 cafeteria plan, the same kind of plan many employers already use for health premiums. That lowers taxable wages and FICA wages for the employee, and lowers the employer's matching payroll taxes.

02 Is the monthly well-being benefit taxed?

The claim payment is not wages under IRC §3121, but it is **taxable income**.

No income tax is taken out of the claim payment when it's paid, the same as other supplemental benefit payments. You report it as income on your own tax return (Schedule 1, line 8z), minus any eligible unreimbursed medical expenses.

Every person's tax situation is different, so talk with your own tax advisor about how it applies to you.

03 Has the IRS or a court weighed in?

Some argue against this approach. No court has ruled against it, and many employers use it and benefit. Each employer makes the decision with its own tax advisor, and we encourage that review before signing.

04 What protection is available to the employer?

Employers can elect **Compliance Protection Coverage** from Procedant. It lists legal defense for IRS challenges, coverage for IRS-assessed penalties and interest, a 3-year audit window and a $250K per-occurrence limit. **Back taxes are not among the items listed.** Confirm what is and isn't covered with the coverage terms before you rely on it.

Two things everyone should know

The claim payment is not wages under IRC §3121, but it is taxable income. And **lower FICA wages can reduce future Social Security benefits.** The program is a well-being program first. It doesn't replace your health plan or the doctor you love.

Have questions from your tax advisor?

Send them to Jason and we'll take them to the plan administrator.

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Tax disclosure: Premiums are paid pre-tax through a Section 125 plan. The claim payment is not wages under IRC §3121, but it is taxable income. Lower FICA wages can reduce future Social Security benefits. Overview only, not the plan document; plan documents control, including exclusions and limitations. Administered by CEHAS Plan Administrators, LLC; virtual care through Amaze Health. The accident coverage is not an alternative to comprehensive coverage and does not replace major medical. Employees age 70 and older can't enroll. Nexus Benefit Solutions does not give legal or tax advice; consult your own tax advisor.